

Refer to [Exhibit A](#) for Rural Housing origination instructions.

PRIMARY RESIDENCE – PURCHASE & RATE/TERM REFINANCE	
Property Type	1-Unit, Condo, PUD
Maximum LTV	Purchase Loans ^{1, 2, 3} : 101.01%
	Refinance Loans ^{1, 3, 4} : 101.01%
Maximum Loan Amount	No specific maximum loan amount; borrower must meet income limit and qualify for the loan
Maximum Ratios	With <i>Accept</i> response from GUS: follow GUS findings
	Manual Underwrite: 29% / 41% ⁵
Minimum Credit Score	580
Reserves	Not required but can be used as a compensating factor. Any assets input into GUS must be verified.
Guarantee Fee	<u>Upfront Fee</u> 1.00% of the Gross Loan Amount
	<u>Annual Fee (Paid Monthly)</u> 0.35%

1. The LTV is calculated as the loan amount divided by the appraised value. LTV may exceed 100% of the appraised value only by the amount of any financed Guarantee Fee.
2. For purchase transactions, closing costs and prepaid expenses may be financed when the sales price is lower than the appraised value but the base loan amount may not exceed the appraised value.
3. Refer to the [Subordinate Financing](#) section.
4. Refinances permitted only for existing GRH loans.
5. Refer to [Chapter 11, Ratio Analysis](#), of *RD Technical Handbook*, HB-1-3555 for information regarding debt ratio waivers and compensating factors.

PROGRAM SUMMARY

The Guaranteed Rural Housing mortgage loan program offers 30-year fixed-rate mortgage financing guaranteed by the U.S. government through USDA Rural Development (RD). Applicants must be unable to secure credit from other sources upon terms and conditions which the applicant can reasonably fulfill. Under this definition, a traditional conventional loan is one where:

- The applicant has available personal non-retirement liquid verifiable assets of at least 20% of the purchase price that can be used as a down payment; and
- The applicant can, in addition to the 20% down payment, pay all closing costs associated with the loan; and
- The applicant can meet qualifying ratios of no more than 28% PITI and 36% TD when applying the 20% down payment; and
- The applicant demonstrates qualifying credit for such a loan.
- The conventional mortgage loan term is for a 30-year fixed rate loan without a condition to obtain private mortgage insurance (PMI).

If the applicant meets the cumulative criteria of traditional conventional credit, as defined by RD above, the applicant is ineligible for the Guaranteed Rural Housing program. Refer to [Chapter 5, Origination and Underwriting Overview](#) of *RD Technical Handbook*, HB-1-3555 for further information.

PRODUCTS OFFERED

Product	Loan Term
Guaranteed Rural Housing – 30 Year Fixed	30-Year Fixed

PRICING

The maximum interest rate for Guaranteed Rural Housing loans is defined by RD Instruction 440.1, Exhibit B as the Fannie Mae posted yield for 90-day delivery (Actual/Actual) for 30-year fixed rate conventional loans plus one percent (1.0%), rounded up to the nearest one-quarter of one percent (0.25%).

RURAL DEVELOPMENT STATE WEBSITES

Websites for state Rural Development offices can be accessed by inputting the main address, then adding the 2-letter state code. Main web address: <http://www.rd.usda.gov/>.

Example

State of Michigan

<http://www.rd.usda.gov/mi>

Connecticut, Massachusetts, and Rhode Island are all managed by the Massachusetts RD director. Therefore, the applicable Website for all three states is <http://www.rd.usda.gov/ma>.

RURAL DEVELOPMENT FORMS

Rural Development forms are available at the [USDA Service Center Agencies eForms](#) site:

FORM RD 3555-21, REQUEST FOR SINGLE FAMILY HOUSING LOAN GUARANTEE

[Form RD 3555-21](#) must be submitted to Underwriting with the initial loan submission. Borrower and co-borrower must sign page two. The version dated “Rev.03-21” must be used for all loan submissions beginning on and after May 1, 2021.

ELIGIBLE BORROWERS

- U. S. citizens
- Permanent resident aliens:
 - Submit INS/CIS Form I-551, Alien Registration Receipt Card (a.k.a. green card).
 - Refer to [Chapter 8, Applicant Characteristics](#) of RD Technical Handbook, HB-1-3555 for further information.
- Non-permanent resident aliens:
 - Guaranteed Underwriting System (GUS) findings must indicate applicant(s) is/are eligible aliens.
 - Refer to [Chapter 8, Applicant Characteristics](#) of RD Technical Handbook, HB-1-3555 for further information.
- Married borrowers applying without their spouse (non-purchasing spouse (NPS)):
 - Income of non-purchasing spouse must be verified and included in the household income calculation to determine if household is income eligible. However, the non-purchasing spouse’s income will not be counted toward repayment/qualifying income.
 - Credit of the non-purchasing spouse is not considered a reason to deny a loan application.
 - The non-purchasing spouse will not sign the note, but will sign the security instrument.

- Community/marital property states (Arizona, California, Idaho, Louisiana, Nevada, New Mexico, Texas, Washington, and Wisconsin):
 - Except for obligations specifically excluded by state law, the debts of NPS's must be included in the applicant's qualifying ratios.
 - A credit report that complies with Flagstar and RD requirements must be obtained for the NPS in order to accurately determine the debts that must be counted in the total debt ratio.

Note: GUS will only retrieve credit reports for applicants. Therefore, lenders must obtain an acceptable credit report outside of GUS for applications in community property states. On the Assets and Liabilities application page lenders must enter the debt obligations (those not excluded by state law) of the NPS in the appropriate liability section. In the "Notes" data field lenders should identify the debt as spousal debt or NPS debt. The credit report for the NPS must be retained in the lender's permanent case file and submitted to RD.
 - Any non-purchasing spouse debts in judgment status must be paid prior to closing.
 - Idaho: must indicate that applicant is applying as sole and separate.

INELIGIBLE BORROWERS

- Non-occupant co-borrowers
- Borrowers closing in a trust

ELIGIBLE PROPERTY TYPES

- One-unit detached or attached properties
- Condominiums. Refer to the Property Guidelines section for details
- Planned unit development (PUDs)
- Modular homes

INELIGIBLE PROPERTY TYPES

- Manufactured Homes. RD will accept new manufactured homes, Flagstar will not.

INCOME LIMITS

- Income used for purposes of determining eligibility for the GRH program is referred to as adjusted annual income, and it is an estimate of the annual income to be received by all adult members of the household over the next 12 months; adjusted annual income is not the same as repayment income, which includes only income from the loan applicants and which must be determined by the underwriter to be stable and dependable
- Annual income, adjusted annual income and repayment income will all be determined by using the *Worksheet for Documenting Eligible Household and Repayment Income*, which is Attachment 9-B to [Chapter 9, Income Analysis](#), of RD Technical Handbook, HB-1-3555
- Adjusted annual income may not exceed 115% of the median income for the area in which the subject property is located; the income limits published [here](#) are calculated at 115% of the median income and cannot be exceeded
- Tax exempt income is included for purposes of determining whether adjusted annual income conforms to the income limits, but it is not grossed up.

HOMEBUYER EDUCATION

Homebuyer education is not typically a requirement for a GRH loan. However, it may be required by RD in some circumstances. Even if not required by RD, homebuyer education is always highly recommended by Flagstar as a tool to help homebuyers better understand the home buying process, developing and maintaining a home budget and typical home maintenance issues all with the goal of helping the homebuyer maintain successful homeownership. Refer to HUD's [Housing Counselor Directory](#) for more information.

MAXIMUM LOAN AMOUNT

PURCHASE

The maximum base loan amount is determined by qualifying ratios and appraised value. The gross loan amount may exceed the appraised value only by the amount of the financed Guarantee Fee.

REFINANCE

Non-streamlined refinances: The new loan amount may include the principal and interest of the existing RD loan, closing costs, prepaid expenses, and lender fees to the extent there is sufficient equity in the property, as determined by the new appraisal. The guarantee fee may still be financed even if the resulting gross loan amount would exceed the appraised value.

Streamlined refinances: The refinance loan amount may represent the outstanding principal balance (including current interest charges due along with a reasonable and customary fee for reconveyance) of the existing GRH loan and any amount of the upfront guarantee fee to be financed into the loan. The new loan amount cannot exceed the original purchase loan amount and cannot include delinquent interest, closing costs, prepaid expenses, or lender fees. The guarantee fee can be included in the loan amount, but only to the extent that the gross loan amount does not exceed the original purchase loan amount of the existing loan to be refinanced. (Streamlined-Assist transactions are not eligible under this product. Use the GRH Streamlined-Assist product instead.)

TEMPORARY BUY-DOWNS

Not eligible. RD will permit temporary buy-downs, Flagstar will not.

RESERVES

Not required.

SUBORDINATE FINANCING

PURCHASE

No maximum CLTV. However, subordinate financing (down-payment assistance) is allowed only from a non-profit or religious organization, a federal, state, or local government agency. All secondary financing must be reviewed and approved by Flagstar Bank.

REFINANCE

No maximum CLTV. Any subordinate financing cannot be included into the new first lien, and must remain subordinate.

INTERESTED PARTY CONTRIBUTIONS

Limited to 6% of the sales price

CREDIT ALERT INTERACTIVE VOICE RESPONSE SYSTEM (CAIVRS)

All borrowers must be screened using HUD's Credit Alert Interactive Voice Response System (CAIVRS). Rural Development will not insure a loan if the borrower is currently delinquent on any unpaid federal debt or has had a claim paid within the previous three years. A CAIVRS check occurs automatically when the loan is submitted to RD's GUS system. A CAIVRS number that begins with anything other than an "A" must be investigated and verification must be obtained that the debt has been satisfied prior to moving forward with the loan application. The GUS findings will identify all such loans.

SYSTEM FOR AWARD MANAGEMENT (SAM)

All applicants and other parties to the transaction (including sellers, listing and selling real estate agents, loan officers, loan processors, underwriters, appraisers and builders) must be screened using General Services Administration (GSA) [System for Award Management \(SAM\)](https://www.sam.gov/portal/public/SAM/) (<https://www.sam.gov/portal/public/SAM/>). An applicant is ineligible if he/she is presently delinquent on any Federal debt or is suspended or debarred, or otherwise excluded from participating in Rural Development programs. Customers will check the website above and submit screen prints of the results of those checks for all parties along with their underwriting submission to Flagstar. The checks should occur no greater than 30 days prior to loan closing, otherwise documentation will need to be updated by performing another check of SAM and submitting the new screen print to Flagstar.

PROPERTY GUIDELINES

APPRAISAL STANDARDS

- Appraisals ordered through Loantrac must include the following comment in the Special Instructions field: *Appraisal is for a Rural Development loan.*
- Appraiser must not appear on the ineligible appraisers list published by the state RD office.
- Refer to [Chapter 12, Property and Appraisal Requirements](#) of RD Technical Handbook, HB-1-3555.
- Full URAR appraisal
 - Fannie Mae Form 1004/Freddie Mac Form 70, (for one-unit single-family dwellings).
 - Fannie Mae Form 1073/Freddie Mac Form 465 (for condominium units).
 - Every appraisal must be accompanied by a Fannie Mae Form 1004MC/Freddie Mac Form 71 (Market Conditions Addendum *to the* Appraisal Report).
 - Residential appraisals will be completed using the sales comparison approach. The income approach is only necessary if the appraiser determines that it is necessary to develop credible assignment results. The cost approach is not required.
 - Not less than three comparable sales will be used unless the appraiser provides documentation that such comparable sales are not available. The appraiser must use their knowledge of the area and apply good judgment in the selection of comparable sales that are the best indicators of value for the subject property.
 - Photographs used in the appraisal report must be clear and descriptive to be able to identify the property's condition and quality. Photographs must clearly represent the improvements, and any physical deterioration of the property, amenities, conditions and external influences that may have a material effect on the market value or marketability of the subject property. An appraisal report with interior and exterior inspection of the subject property must include at least the following:
 - A front view of the subject property
 - A rear view of the subject property
 - A street scene identifying location of the subject property and neighboring improvements

- The kitchen, main living area, bathrooms and bedrooms
- Any other rooms representing overall condition, recent updates, such as restoration, remodeling and renovation
- Basement, attic and crawl space
- Comparable sales, listings, and/or pending sales utilized in the valuation analysis must include at least a front view of each comparable utilized
- Condominium projects should include additional photographs of the common areas and shared amenities
- An appraisal ordered by another lender for the applicant can be transferred to the lender who will complete the purchase transaction. The initial lender must agree to the transfer of the report. A letter from the initial lender who ordered the appraisal report must be retained in the permanent loan file as evidence the lender transferred the report to the lender completing the purchase transaction. The receiving lender must assume full responsibility for the integrity, accuracy and thoroughness of the appraisal report including the methods that the original lender used to acquire the appraisal. The appraisal report must be no older than 120 days at loan closing to be valid.
- Lenders may extend the validity period of an appraisal with an appraisal update report that will be no greater than 240 days from the effective date of the initial appraisal report at loan closing (120 days for the original appraisal plus 120 days for the Appraisal Update Report). Appraisals with no update will be no greater than 150 days from the effective date of the appraisal report at loan closing (120 days validity period plus a 30-day extension period). The 30-day extension period cannot be used when the original appraisal report is updated. An original appraisal report can be updated one time with an Appraisal Update Report.
 - All Appraisal Update Reports must include a completed Market Conditions Addendum (Fannie Mae Form 1004MC/Freddie Mac Form 71) for the subject property that is reflective of market conditions as of the effective date of the Appraisal Update Report.
 - The appraiser may use a pre-printed form or a narrative report to provide the appraisal update, but whichever reporting format is used it must be in compliance with USPAP.
 - Fannie Mae Form 1004D/Freddie Mac Form 442, Appraisal Update and/or Completion Report may be utilized by the lender to report the completion of a repair and/or satisfaction of requirements and conditions noted in the original appraisal report.
- Appraiser MUST certify that the requirements of [HUD Handbook 4000.1](#) have been met. The certification may be made on page three of the appraisal form, in the Additional Comments section, or the appraiser may make their certification in an addendum to the appraisal. Certifications made elsewhere on the appraisal form may not be acceptable to RD. It is not necessary for the appraiser to specifically identify the HUD Handbook by number. However, appraiser comments that the state of the property appears to meet or seems to meet HUD Handbooks are unacceptable.
- Insulation section must not be stated as unknown, assumed, concealed or similar wording.
- Existing dwelling inspection reports/certifications are not required with appraisals by FHA roster appraisers; however, they are required if the appraisal is prepared by a non-FHA roster appraiser.

PROPERTY STANDARDS

- Property must be in area designated as rural by Rural Development, refer to the [USDA Income and Property Eligibility](#) site.
- Condominiums must meet Fannie Mae or Freddie Mac warranty guidelines or be HUD or VA approved.
- There is no site size limitation, but the size must be typical for the area. The site must not have income-producing land (e.g., tracts of arable land ready for planting). However, a minimal income-producing activity, such as a garden that could generate a small amount of additional income does not violate this requirement. A qualified property must be predominantly residential in use, character and appearance.
- Properties constructed within the past 12 months and that have never been occupied are considered new construction and must comply with RD's guidelines for new construction properties. Contact the [appropriate RD production team](#) for their current new construction guidelines. Flagstar will only finance the permanent end loan. These transactions will be treated as purchases. One-closing construction transactions are not eligible.
- Property repairs may be required by the appraiser or Flagstar. Properties requiring repairs generally must have the work completed prior to closing. However, an escrow holdback may be allowed on a case by cases basis only for exterior property repairs that cannot be completed due to inclement weather; refer to the Escrow Holdback section of Flagstar's [USDA Underwriting Guidelines](#) for further information.

FLOOD HAZARD REQUIREMENTS

- The lender must complete, or arrange for a contractor to complete, FEMA Form 086-0-32, Standard Flood Hazard Determination Form (SFHDF) to determine whether the dwelling is located in a Special Flood Hazard Area (SFHA) in accordance with the National Flood Insurance Reform Act of 1994.
- Existing dwellings are eligible under the SFHGLP only if flood insurance through FEMA's National Flood Insurance Program (NFIP) is available for the community and flood insurance whether NFIP, write your own, or private flood insurance, as approved by the lender, is purchased by the borrower. Lenders are required to accept private flood insurance policies that meet the requirements of 42 USC 4012a(b)(1)(A). *Insurance must be obtained as a condition of closing and maintained for the life of the loan for an existing residential structures property when any portion of the residential improvements structure is determined to be located in a SFHA, including decks and carports, etc. However, according to the Homeowner Flood Insurance Affordability Act (HFIAA) of 2014, flood insurance is not required for any additional structures that are located on the property but are detached from the primary residential structure and do not serve as a residence, such as sheds, garages, or other ancillary structures.*
- New or proposed construction in an SFHA is ineligible for a loan guarantee unless:
 - A final Letter of Map Amendment (LOMA) or final Letter of Map Revision (LOMR) removes the property for the SFHA is obtained from FEMA, or;
 - The lender obtains a FEMA National Flood Insurance Program Elevation Certificate (FEMA Form 086-0-33). The flood elevation certificate must document that the lowest floor (including the basement) of the residential building, and all related improvements/equipment essential to the value of the property, are built at or above the 100-year flood elevation in compliance with National Flood Insurance Program (NFIP) criteria. The flood elevation certificate must be prepared by a licensed engineer or surveyor.

Part of the site may be located in the SFHA without triggering these requirements, as long as no part of the dwelling is located in the SFHA. At the lender's discretion they may require national flood

insurance even if the residential building and related improvements to the property are not located within the SFHA, but the lender has reason to believe that the building and related improvements to the property may be vulnerable to damage from flooding.

Flood insurance must cover the lesser of the outstanding principal balance of the loan or the maximum amount of coverage allowed under FEMA's National Flood Insurance Program (NFIP). Unless a higher maximum amount is required by state or federal law, the maximum deductible clause for a flood insurance policy should not exceed the greater of \$1,000 or 1 percent of the face amount of the policy.

EXISTING DWELLING REQUIREMENTS

- Wells
 - The local health authority or state certified laboratory must perform a water quality analysis. Water quality must meet state and local standards. Contact EPA's Safe Drinking Water Hotline: (800) 426-4791 or refer to the [Drinking Water Contaminants](#) website.
 - Before ordering a water quality analysis, check the state RD website for any specific requirements or contact the [appropriate RD production team](#). Water test results submitted without all of the required contaminant analyses will not be accepted and must be reordered. Also, once the state requirements for water tests have been determined contact the desired laboratory to ensure they can complete all required tests. Not every laboratory has the capacity to run all required tests.
 - Minnesota: Water quality analysis must include tests for coliform bacteria (total), nitrate nitrogen, and lead for all properties. In addition, properties with new wells must include a test for arsenic. See [USDA RD MN Private Well Testing Requirements](#).
 - Wells with unsafe levels of nitrates will require installation of an approved individual water treatment system, must verify that an acceptable water treatment system has been installed.
 - Properties with shared wells: Flagstar Underwriting management must approve loans secured by properties with shared wells where the water source is located on another property. A recorded shared well agreement and title commitment must be submitted for review. The agreement must provide irrevocable water rights to the subject property.
- Septic systems
 - Septic inspections are not required unless:
 - The appraiser notes observable evidence of system failure
 - The appraiser or underwriter is in doubt about the operation of the system (e.g., when the property is vacant). If either is true the local health authority or a septic system professional must determine the viability of the system.
- Pest inspections
 - If required by the appraiser, Flagstar, or local/state law, a pest inspection must be obtained showing that the property is free of active termite infestation.

OUTBUILDINGS

- Customers should review the requirements in Paragraph 12.4, *Site Requirements* of [Chapter 12, Property and Appraisal Requirements](#) of *RD Technical Handbook*, HB-1-3555 and should discuss such properties with one of our GRH underwriters to determine if the property is eligible.

BASEMENT KITCHENS

- Properties with basement kitchens are only acceptable if it can be clearly demonstrated that the basement could not be rented as a separate living unit, even if there are no plans to do so. Examples of basement features that, when looked at together with the kitchen, might demonstrate the ability to be rented as a separate living unit include, but are not limited to: a separate entrance into the basement without accessing another part of the home, a full bath, a bedroom or area that could serve as a bedroom, closet space, etc.
- Customers should discuss such properties with one of our GRH underwriters to determine if the property is eligible.

UNDERWRITING

- All loans will be underwritten to current Flagstar Bank and Rural Development guidelines.
- Rural Development's basic eligibility and underwriting guidelines are found in [7 CFR 3555](#) and the RD Technical Handbook, [HB-1-3555](#).
- Use the *Rural Housing Processing Checklist*, [Doc. #9801](#), for documentation required for submission to Flagstar Underwriting.
- Non-traditional, alternative credit and no credit score loans are now eligible and will follow the [USDA Handbook HB-1-3555](#) requirements.
- Loans for borrowers with non-traditional credit are permissible; a credit score of 999 should be entered for those borrowers.
 - Even with the minimum credit scores met, there must not be indicators of unacceptable credit:
 - Foreclosure within three years:
 - Including pre-foreclosure activity, such as a pre-foreclosure sale or short sale in the previous three years;
 - Bankruptcy within three years:
 - Chapter 7 bankruptcy discharged in the previous three years;
 - Chapter 13 bankruptcy that has yet to complete repayment or has completed repayment in the most recent 12 months;
 - Late mortgage payments, if any mortgage trade line during the most recent 12 months shows one or more late payments of greater than 30 days;
 - Late rent payments paid 30 or more days late within the last 12 months.
- Flagstar will only use Credco credit reports when underwriting GRH loan transactions. For Flagstar underwritten files, if the customer does not provide a Credco credit report, the underwriter will order one, and the credit report of record, which will include the credit scores of record, will be the Credco report used in the most recent Guaranteed Underwriting System (GUS) submission.
 - Delegated customers and customers who are Lender Agents of Flagstar, and thus able to submit loans to the USDA GUS system themselves, may use their own credit providers.
- At least one applicant whose income or assets are used for qualification must have a valid credit score, consisting of two or more trade lines with at least 12 months of repayment history reported on the credit report. The trade line may be open, closed and/or paid in full by the applicant. Refer to Paragraph 10.5 of [Chapter 10, Credit Analysis](#) of the *RD Technical Handbook* for a list of eligible trade lines.
- Flagstar will submit all eligible loans to the Guaranteed Underwriting System (GUS), an automated underwriting tool provided by Rural Development based on a modified version of the FHA Total Scorecard. The GUS Underwriting Findings Report will be posted to Loantrac's Documents module. Currently, there is no interface between the GUS system and Flagstar's system. The underwriter must

ensure data integrity by confirming no discrepancies exist between the data entered in both systems and that the documentation in the file supports such information.

- All loan applications must be fully documented. Documentation submitted to the underwriter must verify the borrower's credit history, employment, income, assets, collateral requirements, and any other documentation supporting the loan request (such as verification of mitigating circumstances regarding adverse credit). An *Accept/Eligible* recommendation from GUS often provides the approving lender the ability to provide limited documentation to the [appropriate RD production team](#), but lenders must still possess and maintain a fully documented permanent loan file in their records.
- Loans that receive an *Accept/Eligible* recommendation, and which have a valid credit score, do not require explanation or further review of mitigating circumstances for adverse credit. All other loan data must be fully documented and verified.
- For loans that do not receive an *Accept/Eligible* recommendation from GUS, the underwriter must document compensating factors considered in the evaluation of the mortgage loan application on the Uniform Underwriting and Transmittal Summary, Fannie Mae Form 1008. Then print the 1008, sign it, and upload the signed version into Paperless File Manager. The signed 1008 must be included with the full file submission to the [appropriate RD production team](#).
- The broker/correspondent is to fill out the Request for Single Family Housing Loan Guarantee, [Form RD 3555-21](#). The borrower and co-borrower must sign page two. In addition, the broker/correspondent is to fill out the *Worksheet for Documenting Eligible Household and Repayment Income*, which is Attachment 9-B to [Chapter 9, Income Analysis](#), of RD Technical Handbook, HB-1-3555. For non-delegated customers, the forms must be submitted to the underwriter with the initial loan submission. The 3555-21 must be completely filled out and signed by the underwriter and applicants PRIOR to submitting the loan to the [appropriate RD production team](#).
- Once the underwriter issues a conditional loan approval where the only outstanding prior-to-close conditions are not likely to affect the GUS recommendation, the underwriter will Final Submit the loan in the GUS system, and send the appropriate documents to the [appropriate RD production team](#) for their review. Non-delegated brokers/correspondents should not submit anything to RD.
- The underwriter is responsible for resubmitting the loan to GUS when material changes in loan data occur. Under the following conditions, the underwriter must resubmit the loan through GUS for an updated evaluation. If the Final Submit has already occurred, the underwriter will need to contact the [appropriate RD production team](#) to have the loan application released back to Flagstar in GUS.
 - Borrowers were added/deleted from the application or critical borrower information has changed.
 - A decrease in the borrower's income and/or cash reserves.
 - An increase in the loan amount or interest rate.
 - Any changes that would negatively affect the borrower's ability to repay the mortgage.
 - Any changes regarding the property, such as change in sales price or appraised value.
- Some data changes do not affect the outcome of an underwriting recommendation. Once a mortgage loan has been sent to the [appropriate RD production team](#) as a Final Submit, the following data changes do not require that the GUS loan application be updated. Although these changes do not require another GUS submission, an updated [Form RD 3555-21](#) MUST be submitted to the [appropriate RD production team](#) and the RD Conditional Commitment re-issued with the updated information.
 - A decrease in the interest rate.
 - A decrease in the loan amount.
 - A decrease of mortgage or personal liabilities.
 - An increase of assets.

- Documentation to include in submission to the [appropriate RD production team](#).
 - *Accept/Eligible* loans:
 - Underwriter should refer to RD's [Origination Stacking Order Checklist](#) for list of required documents and stacking order.
 - In the following circumstances, even *Accept/Eligible* loans will require that a fully documented file be submitted to the [appropriate RD production team](#) (appropriate messaging will appear on the GUS findings):
 - When a loan is submitted to GUS 10 or more times.
 - As part of a random five percent sample of loans.
 - If the borrower or co-borrower is on another GUS application within the past 12 months.
 - Loans that receive the full file submission message on the GUS findings are treated by Flagstar as a recommendation downgrade to Refer and are ineligible.
- Loans that receive an *Accept/Ineligible* recommendation must be reviewed to determine if the ineligibility identified in the GUS findings can be resolved. If so, the loan information must be corrected and resubmitted to GUS to obtain a revised underwriting recommendation (*Accept/Eligible*).
Accept/Ineligible loans are not approvable if the reason(s) leading to the ineligibility cannot be resolved.

INCOME/EMPLOYMENT DOCUMENTATION

- Non-self-employed applicants must meet one of the following:
 - Request for Verification of Employment, [Form RD 1910-5](#) or the equivalent FHA/VA/Fannie Mae form, and the most recent paycheck stub, or
 - Paycheck stubs or payroll earnings statements covering the most recent 30-day period, and W-2 tax forms for the previous two tax years, and a verbal verification of employment (VOE) as required, or
 - Electronic verification or other computer-generated documents accessed and printed from an Intranet or Internet, and W-2 tax forms for the previous two tax years, and a verbal VOE, as required.
 - Refer to Section 2: Repayment Income of [Chapter 9, Income Analysis](#) of RD Technical Handbook, HB-1-3555 for further guidance.
- Self-employed applicants must submit the following:
 - Signed individual Federal income tax returns with all appropriate schedules for the most recent two tax years.
 - Signed business Federal tax returns for the most recent two tax years:
 - Sole proprietor: Schedule C to individual Form 1040
 - Partnership: Form 1065
 - S Corporation: Form 1120S
 - Corporation: Form 1120
 - Current profit and loss statement for the business.
 - Current balance sheet for the business.
 - IRS Form 4506-C, signed.
 - Refer to Section 2: Repayment Income of [Chapter 9, Income Analysis](#) of RD Technical Handbook, HB-1-3555 for further guidance on underwriting self-employed applicants as well as information on how to treat business debts.
- Part-time, Second Job and/or Seasonal Income:

- Income from a second job or part-time job may be counted for repayment income if the applicant has worked this position uninterrupted for the past two years and will continue to do so. This type of income must be likely to continue for the next three years.
- Income from seasonal employment (e.g., umpiring baseball games in summer or working at a department store during the Christmas shopping season) is considered uninterrupted and may be counted if the applicant has worked the same type of job for the past two years.
- Income from a part-time position that has been received for less than two years may be counted if the lender is able to determine through employer verification that the income's continuance is likely at the level of receipt verified in the past. Income from part-time positions not meeting these requirements may be considered as a compensating factor, as described in [Chapter 11, Ratio Analysis](#) of RD Technical Handbook, HB-1-3555.
- To utilize secondary employment or seasonal income for repayment, the income must be reported on the applicant's federal income tax returns for the most recent two years.
- Alimony and child support income must be documented to continue for a minimum of three years and must document a history of receipt for at least 12 months and a signed IRS Form 4506-C.
- Social Security or disability income:
 - Document that income will continue for a minimum of three years with award letter.
 - IRS Form 4506-C, signed.
- When considering income not subject to Federal income tax, for example, certain types of disability payments or military allowance, the amount of continued tax savings attributable to non-taxable income source may be added to the applicant's repayment income. Income that has been verified to be tax exempt may be grossed up by 25 percent, in other words, multiplied by 125 percent to "gross up" such income. No other adjustments for tax exempt income are authorized. Tax exempt income sources should not be grossed up when calculating eligibility income.
- Rental income:
 - Net monthly rental income must always be included in household income for income eligibility purposes, regardless of whether it is also considered to be stable income and therefore eligible to be included in qualifying income. To calculate the amount to be included in household income, the monthly gross rents amount must be reduced by a vacancy factor of 25% before subtracting the monthly principal, interest, taxes, insurance, and homeowners association dues, etc. Treat the income as follows:
 - Positive net rental income is included in household income
 - Negative net rental income is treated as \$0.
 - In order for rental income to be included in the borrower's qualifying income, borrowers must be able to document receipt of rental income over the past 24 months using IRS Form 1040, Schedule E, for the past two income tax filings, along with a signed IRS Form 4506-C. The income may be averaged over the past 24-month period, and depreciation may be added back to the net income or loss shown on Schedule E. Positive net rental income may be considered as qualifying income. Negative net rental income must be treated as a recurring monthly liability.
 - For newly signed leases, Flagstar requires applicants to qualify with all mortgage liabilities; no rental income is to be included in qualifying income.

DEBTS/OBLIGATIONS

- Standard GRH qualifying ratios are 29% / 41%.
 - Higher ratios are permitted with an *Accept/Eligible* recommendation from GUS; underwriter will follow GUS findings.

- The total debt ratio will include long-term obligations with more than 10 months remaining, including all installment loans, revolving charge accounts, alimony, child support or separate maintenance payments and other continuing obligations.
- Short-term obligations that are considered to have a significant impact on repayment ability, such as large medical bills, automobile lease contracts with 10 or fewer remaining payments or other credit payments will be counted in the total debt ratio.
- Collections:
 - Refer to Paragraph 10.9 of [Chapter 10, Credit Analysis](#) of RD Technical Handbook, HB-1-3555.
- Judgments:
 - Refer to Paragraph 10.10 of [Chapter 10, Credit Analysis](#) of RD Technical Handbook, HB-1-3555.

ASSETS

- The 1003 must fully disclose assets for ALL applicants.
- Income from all HOUSEHOLD assets (not just applicant assets) must be disclosed for all adult members of the household, and must be included on the Eligibility page in GUS.
 - Refer to Paragraph 9.4 of [Chapter 9, Income Analysis](#) of RD Technical Handbook, HB-1-3555 for additional information regarding assets and program eligible income. Assets meeting the requirements of that paragraph also require verification documentation for the file. Such assets must be included in the GUS submission.
- Assets are not required to be entered on the Assets and Liabilities page in GUS; however, any assets entered must be fully documented. The presence of assets/cash reserves after closing can influence the outcome of the GUS underwriting recommendation.
- The underwriter may choose to submit the loan to GUS without disclosing the assets. If an unfavorable recommendation is received, resubmission of the loan application with the asset information may result in an improved recommendation. If this is the case, the underwriter will require verification of assets be submitted to Flagstar.
 - If assets are submitted to GUS, the lesser of the two-month average balance or the actual balance (as reported on the most recent statement) will be input on the Assets and Liabilities page of GUS. Refer to Paragraph 9.3 of [Chapter 9, Income Analysis](#) of RD Technical Handbook, HB-1-3555 for documentation standards and examples of calculating the average monthly balance of assets.
- Depository accounts (e.g., checking, savings, certificate of deposit, money market):
 - Verification of Deposit with the two-month average balance, or two consecutive monthly bank statements dated within 45 days of the initial loan application date.
 - A two-month average of liquid assets most accurately represents the true value of the account(s) since these types of accounts often fluctuate significantly during the month. The lesser of the two-month average balance or the actual balance (as reported on the most recent statement) will be input on the Assets and Liabilities page of GUS. Refer to Paragraph 9.3 of Chapter 9, Income Analysis of RD Technical Handbook, HB-1-3555 for documentation standards and examples of calculating the average monthly balance of assets.
- Earnest money deposit:
 - Earnest money deposit on sales contracts can be considered an asset if the deposit is not already reflected in a liquid asset account (such as a checking or savings account).

- If the funds have cleared the borrower's account, place the amount as an Other Credit in Section VII of the application, where it is assumed to have been verified.
- For GUS transactions, do not enter earnest money in a depository account on the Assets and Liabilities page and in the Other Credit section on the Transaction Details page.
- Gift funds:
 - Funds may be provided by the applicant's relative, employer or labor union, charitable organization, or government agency/public entity that has a program to provide homeownership assistance to low and moderate income applicants.
 - Refer to Section 9.3(E)(1) of [Chapter 9, Income Analysis](#) of RD Technical Handbook, HB-1-3555 for information on verification of gifts.
- Sale proceeds from currently owned property:
 - Final HUD-1 Settlement Statement or Closing Disclosures indicating cash sales proceeds actually realized by borrower.
 - Proceeds from the sale of the property should be included in the borrower's liquid assets (such as a checking or savings account).
 - For GUS transactions, the Net Equity portion will be populated once the Real Estate Owned Property section is properly completed.
- Retirement accounts (e.g., IRAs, thrift savings plans, 401(k)s, and Keogh accounts):
 - To account for withdrawal penalties and taxes, 60% of the vested amount will be used as the value of retirement assets. Accounts that restrict withdrawals only in connection with the borrower's employment separation, retirement, or death will not be considered as assets.
 - Obtain the most recent statement.
 - Funds borrowed against these accounts may be used for loan closing, but are not to be considered as cash reserves
- Stocks and bonds:
 - Obtain the most recent monthly or quarterly statement provided by the stockbroker or financial institution managing the portfolio.
- Cash-on-hand:
 - The borrower should be able to explain in writing how funds were accumulated and the amount of time taken to do so.
 - The underwriter must determine the reasonableness based on the borrower's income stream and the time frame in which the funds were saved.
 - Typically, individuals that accumulate and keep cash savings on hand are less likely to save money through a savings or checking account as would an individual with a history of such accounts.

OTHER REQUIREMENTS

- Borrowers owning multiple dwellings: Applicants are limited to retaining ownership in one dwelling other than the one associated with the loan request. The retained dwelling must be outside of the local commuting area or not be structurally sound and functionally adequate.
- An escrow account is required. Therefore, escrow waivers are not permitted.
- The Rural Development Conditional Commitment for Single Family Housing Loan Guarantee, Form RD 3555-18 must be received by the underwriter prior to issuing a Final Approval.

- Final loan approval must include a statement about the maximum interest rate (e.g., The maximum interest rate is ____ %.), which is to be drawn from the GUS findings and/or the RD Conditional Commitment.
- Final loan approval must include a statement about the maximum payment (e.g., "Total new house payment including taxes and insurance cannot exceed \$_____"). This amount must be in line with the GUS findings, and is to exclude any homeowners association (HOA) fee.
- New construction: Loans that represent the permanent financing of a two-closing construction transaction are eligible as are loans that represent the purchase of a newly constructed dwelling from a builder. One-closing construction transactions are not eligible.
- California purchases: For purchases of new and existing properties in California only, property taxes may be calculated using 1.25% of the purchase price or the actual tax rate.

REFINANCE TRANSACTIONS

- [Click here](#) for a helpful side-by-side refinance options chart provided by USDA.
- All refinance transactions:
 - Refer to Chapter 6, Loan Purposes of RD Technical Handbook, HB-1-3555.
 - Existing RD loans may be refinanced even if property is no longer in a designated rural area.
 - The interest rate of the new loan must be at or below the interest rate of the existing loan.
 - The existing RD loan must have closed at least 12 months prior to the [appropriate RD production team](#)'s receipt of a conditional commitment request for refinance (loans outstanding for less than 12 months are not eligible for refinance).
 - The existing loan to be refinanced must have been current for the previous 180-day period prior to the [appropriate RD production team](#)'s receipt of a conditional commitment request for refinance.
 - Any late mortgage payments within the past 36 months on the existing USDA loan must be analyzed and addressed by the lender to determine if any late payments were a disregard for financial obligations, an inability to manage debt, or factors beyond the control of the borrower when considering the underwriting decision. The permanent file for the new loan must contain documented evidence that the payment history requirements have been met.
 - Adding or deleting borrowers is permissible as long as at least one original borrower is retained on the new refinance loan.
 - Escrow credits are not permitted. The borrower's existing escrow balance may not be credited to the payoff and/or credited anywhere on the Closing Disclosure.
 - Customary and reasonable closing costs and other fees may be collected from the borrower by the lender. Such charges may not exceed the cost paid by the lender or charged to the lender by the service provider. Excessive fees are not permitted. Examples of customary and reasonable fees are:
 - The actual cost of the appraisal, inspection, credit reports, imposed verification charges, title examination and title insurance fees, attorney fees, settlement fees, recording fees, taxes, test or treatment fees, and/or courier/wire/notary fees as long as the service provider is not an employee of the lender.
 - Document preparation fees may only be charged if the documents are prepared by a third party not controlled by the lender. The lender may not charge document preparation fees if it prepared the documents itself.

- Only bona-fide discount points (paid to Flagstar to lower the interest rate) can be assessed to the borrower. See Discount Points under Other Fees in the Fees section below.
- Subordinate financing, such as home equity seconds and down payment assistance silent seconds, cannot be included in the new loan amount. Any existing secondary financing must be re-subordinated to the new first lien.
- Refer to Paragraph 11.3B of Chapter 11, Ratio Analysis, of RD Technical Handbook, HB-1-3555 regarding debt ratio waivers and compensating factors for refinance transactions.
- All guidelines not specified in this section that are applicable to purchase transactions apply.
- Non-streamlined refinances:
 - Existing loan must a USDA GRH or Direct loan without regard to the current servicer.
 - A new appraisal is required.
 - The new loan amount may include the principal and interest of the existing RD loan, closing costs, prepaid expenses, and lender fees to the extent there is sufficient equity in the property, as determined by the new appraisal.
 - The guarantee fee may still be financed even if the resulting gross loan amount would exceed the appraised value.
- Streamlined refinances:
 - Existing loan must a USDA GRH loan serviced by Flagstar Bank. Streamlined refinances of USDA GRH loans serviced by others must be done under the GRH Streamline-Assist program.
 - An appraisal is not required, and the value used for the appraised value will be the appraised value from the loan being refinanced.
 - Streamlined refinance transactions may now be submitted to GUS.
 - The refinance loan amount may represent the outstanding principal balance (including current interest charges due along with a reasonable and customary fee for reconveyance) of the existing GRH loan and any amount of the upfront guarantee fee to be financed into the loan. The new loan amount cannot exceed the original purchase loan amount and cannot include delinquent interest, closing costs, prepaid expenses, or lender fees.
 - The guarantee fee can be included in the loan amount, but only to the extent that the gross loan amount does not exceed the original purchase loan amount of the existing loan to be refinanced.
 - Even though an appraisal is not required, Flagstar requires a property inspection to verify that the property meets the current requirements of [HUD Handbook 4000.1](#). The inspection must be conducted by an FHA appraiser on Flagstar's eligible appraiser list.
- Loans utilizing the new Streamlined-Assist option must be registered under the special GRH Streamlined-Assist products, based on whether the existing loan is currently serviced by Flagstar Bank or another lender. Streamlined-Assist loans are not eligible under this product.

FEES

GUARANTEE FEE

The guarantee fee for all purchase and refinance transactions is 1.00% of the gross (final) loan amount. The guarantee fee may be financed or paid at closing. If the upfront fee is financed, it is calculated as the base loan amount (before the guarantee fee is added, but after other financed items) divided by 0.99, rounded down to the nearest dollar, and then multiplied by 0.01. The gross loan amount may only exceed the appraised value by the amount of the financed guarantee fee.

ANNUAL FEE (PAYABLE MONTHLY)

0.35%

Calculate the amount for the upfront and annual guarantee fees using the [Guarantee Upfront and Annual Fee Calculator](#).

Loantrac permits the following three options regarding the upfront guarantee fee:

- Full financing of the upfront guarantee fee (except for any amount less than one dollar),
- Partial financing of the fee (with the remainder paid in cash at closing), or
- Paying the full upfront guarantee fee in cash at closing.

Customers should refer to Loantrac's Guaranteed Rural screen for the breakdown of the financed vs. paid in cash portions of the guarantee fee.

OTHER FEES

- Fees and charges associated with originating/closing a GRH loan cannot exceed fees charged for loans insured or guaranteed by the FHA or VA; refer to Paragraph 6.2C of [Chapter 6, Loan Purposes of RD Technical Handbook](#), HB-1-3555
- Closing costs for both purchase and non-streamlined refinance transactions may be financed up to the appraised value of the property
- Discount points: Bona fide loan discount points (that reduce the interest rate) are eligible to be financed for all loans; Financed discount points must not exceed two percentage points of the loan amount

STATE ELIGIBILITY

Available in designated rural areas of the following states and the U.S. Virgin Islands with the stated restrictions. Designated rural areas in states not listed are available without restriction.

State	Restriction
Arizona	Community property state. See the Eligible Borrowers section for non-purchasing spouse details.
California	Community property state. See the Eligible Borrowers section for non-purchasing spouse details.
District of Columbia	Not eligible
Idaho	Community property state. See the Eligible Borrowers section for non-purchasing spouse details.
Louisiana	Community property state. See the Eligible Borrowers section for non-purchasing spouse details.
Nevada	Community property state. See the Eligible Borrowers section for non-purchasing spouse details.
New Mexico	Community property state. See the Eligible Borrowers section for non-purchasing spouse details.
Puerto Rico	Not eligible
Texas	Community property state. See the Eligible Borrowers section for non-purchasing spouse details.
Washington	Community property state. See the Eligible Borrowers section for non-purchasing spouse details.
Wisconsin	Community property state. See the Eligible Borrowers section for non-purchasing spouse details.

LATE FEE

Flagstar requires a five percent (5%) late fee for GRH transactions.

CLOSING DOCUMENTATION – CORRESPONDENT TRANSACTIONS

Closing documentation may be obtained from Flagstar's Web-Based Closing Documents (WBCD) service available on Loantrac.

- Fannie Mae/Freddie Mac Uniform Security Instrument, 3000-series.
- Fannie Mae/Freddie Mac multi-state Fixed Rate Note, 3200-series.
- Copy of Preliminary Title Policy or Preliminary Opinion (with environmental endorsement).
- Copy of Settlement Statement for prior primary residence (for purchase transactions).
- Copy of Homeowners Policy or Binder.
- Borrower must acknowledge receipt of the appraisal (signed handwritten statement is OK).

Cash back to the borrower at closing, including tax prorations, is not allowed except for refunding the borrower's verified earnest money deposit on a purchase transaction. Refinance transactions are not eligible for any cash back to the borrower. Any excess should be returned to Flagstar.

EXHIBIT A

How to originate a non-delegated Guaranteed Rural Housing loan with Flagstar:

1. Take the application, ensure applicant is eligible for a guaranteed loan based on:
 - a. Property being located in a rural area
 - b. Income eligibility (use RD's Worksheet for Documenting Eligible Household and Repayment Income, which is Attachment 9-B to [Chapter 9, Income Analysis](#), of RD Technical Handbook, HB-1-3555)
 - c. Initial review of credit
 - d. Qualifying ratios
2. Confirm eligibility through USDA's [Income and Property Eligibility](#) site.
3. All applicants and other parties to the transaction (including sellers, listing and selling real estate agents, loan officers, loan processors, underwriters, appraisers and builders) must be screened using General Services Administration (GSA) [System for Award Management \(SAM\)](#) (<https://www.sam.gov/portal/public/SAM/>). Obtain screen prints for results of all checks and submit with underwriting file.
4. Upload/input loan application into Loantrac, select product using a Loan Type of *Rural*, complete Guaranteed Rural screen on Loantrac, run credit through Loantrac, order verifications, etc.
5. Retrieve and follow the *Rural Housing Processing Checklist*, [Doc. #9801](#).
6. Complete all applicable Rural Development forms, to include signatures, and then submit loan application package to Flagstar for underwriting review.
7. Once Flagstar issues its conditional loan approval, the underwriter will submit file to [Rural Development](#) for their review.
8. Rural Development reviews loan and issues [Form RD 3555-18](#), Conditional Commitment of Single Family Housing Loan Guarantee.
9. Flagstar reviews and clears conditions listed on the [Form RD 3555-18](#) and places loan into Final Approval status.
10. Broker/correspondent locks the interest rate with Flagstar Marketing department (if not previously locked). Save confirmation in the file.
11. Schedule the closing. Prepare closing documents using Flagstar's Web-Based Closing Docs (WBCD) service available on Loantrac. Order funds.
12. Close the loan.
13. Deliver closed loan package to Flagstar.
14. Flagstar submits the guarantee package to Rural Development using RD's [Loan Closing Stacking Order Checklist](#).
15. Rural Development issues the Loan Note Guarantee, [Form RD 3555-17](#) to Flagstar.